Block practice · Social enterprise, government, trade and external factors

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Social enterprises: meaning and purpose

Franchising: franchisor and franchisee

Government spending, taxation and laws

Trading blocs and tariffs

External factors affecting business decisions

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Practice workbook · Social enterprises: meaning and purpose

What a social enterprise is and why an owner might set a business up this way, putting social aims alongside making money.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-09

1. Question 1 · part b · 1 mark

2020 NOV · Paper 02

Worked-example retry · Attempt part b only.

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1 In 1985 *Emirates* started its airline business with just two aircraft. It is now a well-known airline with over 265 aircraft flying to over 180 destinations around the world.

Emirates has won many awards for service and reliability. Until 2016 passengers rated *Emirates* the leading airline to travel with. However, in 2017 its rating dropped from first to fourth.

(a) (i) Which **one** of the following only applies to a public limited company?

(1)

Select **one** answer.

- ☒ **A** Controlled by the government
- ☒ **B** Shares are traded on the stock exchange
- ☒ **C** A maximum of 50 shareholders
- ☒ **D** Restriction in the transfer of shares

(ii) Which **one** of the following departments would send an invoice to a supplier?

(1)

Select **one** answer.

- ☒ **A** Human resources
- ☒ **B** Marketing
- ☒ **C** Finance
- ☒ **D** Production

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1. Question 1 · part b · 1 mark

2020 NOV · Paper 02

Worked-example retry · Attempt part b only.

Figure 1 shows the annual total revenue of £1 200 000 for five businesses.

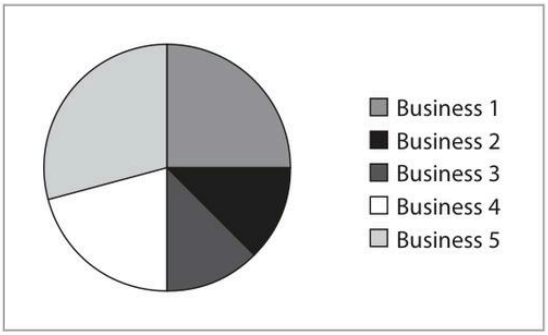


Figure 1

Business 1	**£300 000**
Business 2	**£150 000**
Business 3	**£150 000**
Business 4	**£250 000**
Business 5	**£350 000**

(iii) What is the market share for Business 2?

(1)

Select **one** answer.

- ☒ **A** 12.5%
- ☒ **B** 20.8%
- ☒ **C** 25.0%
- ☒ **D** 29.2%

(iv) Which **one** of the following describes an overdraft?

(1)

Select **one** answer.

- ☒ **A** A method of borrowing regular amounts
- ☒ **B** More funds taken out than are in the account
- ☒ **C** Money lent by many people to a business
- ☒ **D** A loan due for repayment in five years

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1. Question 1 · part b · 1 mark

2020 NOV · Paper 02

Worked-example retry · Attempt part b only.

Figure 2 Extract from *Emirates* financial reports, 2015–2017

	2016–2017 Dirham millions (AED)	2015–2016 Dirham millions (AED)
Total assets	133 281	129 989
Cash assets	19 066	23 453

Figure 2

(v) What is the percentage change in total assets between 2015–2016 and 2016–2017?

(1)

Select **one** answer.

- ☒ **A** –18.70%
- ☒ **B** –2.53%
- ☒ **C** 2.47%
- ☒ **D** 2.53%

(vi) Which **one** of the following would be part of recruiting a new employee?

(1)

Select **one** answer.

- ☒ **A** Business plan
- ☒ **B** Induction training
- ☒ **C** Job description
- ☒ **D** Job enrichment

(b) Define the term **social enterprise**.

(1)

(c) Define the term **globalisation**.

(1)

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Turn over ▶

1. Question 1 · part b · 1 mark · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Figure 1 shows the product life cycle diagram.

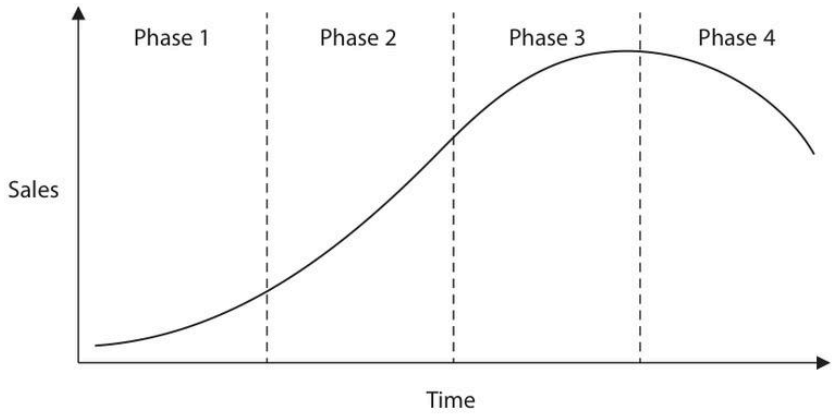


Figure 1

(iv) Which **one** is the correct label for Phase 2? (1)

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? (1)

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

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2. Question 1 · part d · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Tom Baker is looking to increase his profits so *Loaf* can support more local projects.
The revenue from his pop-up events in 2016 was £23 546. In 2017 this increased by 3%.

(e) Calculate the revenue for 2017. You are advised to show your working.

(2)

£ .....

(f) Explain **one** method a small business might use to increase its profit.

(3)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 1 · part c · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c only.

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1 *Irsi Chocolatier* is a chocolate shop in Brussels, the capital city of Belgium. There are many other chocolate shops nearby. Opened in 1989 by the Corne family the business now has four directors and three employees. Florent Corne is the Managing Director with three other family members as Directors. *Irsi Chocolatier* opens from Tuesday till Saturday. The shop sells a variety of handmade chocolates and jelly fruit sweets. It delivers locally and has a website for information purposes only.

(a) (i) Which **one** of the following functions is responsible for public relations?

Select **one** answer.

(1)

- ☒ **A** Human resources
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Production

(ii) Which **one** of the following is the difference between cash inflow and cash outflow?

Select **one** answer.

(1)

- ☒ **A** Opening balance
- ☒ **B** Net cash flow
- ☒ **C** Closing balance
- ☒ **D** Cash flow forecast

(iii) Which **one** of the following is the sector that converts raw materials into products?

Select **one** answer.

(1)

- ☒ **A** Public
- ☒ **B** Tertiary
- ☒ **C** Primary
- ☒ **D** Secondary

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3. Question 1 · part c · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c only.

(iv) Which **one** of the following is an example of a good?

Select **one** answer.

(1)

- ☒ **A** Motor vehicle
- ☒ **B** Financial advice
- ☒ **C** Car washing
- ☒ **D** Gardening

In 2021 *Irsi Chocolatier*'s revenue was €311 625. Each year it has seen its revenue increase.

(v) Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?

Select **one** answer.

(1)

- ☒ **A** €317 857.50
- ☒ **B** €319 415.63
- ☒ **C** €320 973.75
- ☒ **D** €322 531.88

Irsi Chocolatier's monthly fixed costs are €950 and variable costs per luxury box of chocolates are €2.60.

(vi) Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?

Select **one** answer.

(1)

- ☒ **A** 75
- ☒ **B** 76
- ☒ **C** 77
- ☒ **D** 78

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3. Question 1 · part c · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part c only.

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(b) Define the term **limited liability**.

(1)

(c) Define the term **social enterprise**.

(1)

(d) State **one** way *Irsi Chocolatier* could use the Boston matrix.

(1)

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A customer buying five boxes of chocolates for a total of €75.50 is given a 6% discount.

(e) Calculate, to two decimal places, the cost of these chocolates after the discount has been applied. You are advised to show your working.

(2)

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3. Question 1 · part c · 1 mark · Working and answer

Working and answer

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4. Question 1 · part c · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part c only.

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1 *Saha* is a small business in Türkiye (formerly known as Turkey) that opened in 2020 with 15 employees. It designs and manufactures robots which are used in hospitals, hotels and restaurants. In hospitals its robots are used to move medical supplies between departments. In hotels and restaurants, the robots are used to welcome customers as they arrive and deliver food and drinks to hotel rooms and restaurant tables. *Saha* provides a seven day a week customer service for all businesses buying its robots.

Many new businesses are entering the global robot market and are competing for market share. Competitors in Türkiye include *NIO, Zoox* and *Vention*.

Saha has ambitious growth plans and has started to design robots that will be used in the home to help people with cleaning, shopping, security and entertainment. It aims to become a multinational business within five years to manufacture robots in all continents of the world.

(a) (i) Which **one** of the following is a financial method used to motivate employees?

Select **one** answer.

(1)

- ☒ **A** Job enrichment
- ☒ **B** Job rotation
- ☒ **C** Autonomy
- ☒ **D** Remuneration

(ii) Which **one** of the following is an example of secondary research?

Select **one** answer.

(1)

- ☒ **A** Government reports
- ☒ **B** Surveys
- ☒ **C** Focus groups
- ☒ **D** Observations

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4. Question 1 · part c · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part c only.

(iii) Which **one** of the following would increase the break-even point?

Select **one** answer.

(1)

- ☒ **A** A decrease in the fixed costs
- ☒ **B** An increase in the variable costs
- ☒ **C** An increase in the selling price
- ☒ **D** A decrease in total costs

(iv) Which **one** of the following is provided by a person applying for a job?

Select **one** answer.

(1)

- ☒ **A** Job description
- ☒ **B** Curriculum vitae (CV)
- ☒ **C** Personal specification
- ☒ **D** Disciplinary and grievance procedures

Figure 1 shows an extract from a statement of comprehensive income in 2023.

	£
Sales	90 000
Cost of sales	11 000
Gross profit	79 000
Operating expenses	18 000

Figure 1

(v) Which **one** of the following is the operating profit in 2023?

Select **one** answer.

(1)

- ☒ **A** £29 000
- ☒ **B** £79 000
- ☒ **C** £72 000
- ☒ **D** £61 000

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4. Question 1 · part c · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part c only.

The currency of Türkiye is the Turkish lira (TRY).

In 2021 the cost of material for one robot was 80 000 TRY.

In 2023 the cost of material for one robot was 92 000 TRY.

(vi) Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023?

Select **one** answer.

(1)

- ☒ **A** 1.30%
- ☒ **B** 13.04%
- ☒ **C** 15.00%
- ☒ **D** 86.96%

(b) Define the term **stakeholder**. (1)

(c) Define the term **social enterprise**. (1)

(d) State **one** non-current asset that *Saha* is likely to have. (1)

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4. Question 1 · part c · 1 mark · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

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1 In 1971 *Starbucks* opened its first coffee shop in Seattle, Washington, US. Since then, it has experienced significant growth with more than 32,000 stores operating across 80 countries. It sells coffee and food products including cakes, biscuits and sandwiches. *Starbucks* has a mission 'To inspire and nurture the human spirit – one person, one cup and one neighbourhood at a time.'

Starbucks refers to its employees as 'partners' as they encourage people to support each other and work to achieve common goals. It offers the opportunity for partners to develop their skills and knowledge of the coffee shop market, by starting as baristas, then as coffee masters and finally as coffee shop managers.

(a) (i) Which **one** of the following is a secondary sector activity?

Select **one** answer.

(1)

- ☒ **A** Coal mining
- ☒ **B** Engineering
- ☒ **C** Farming
- ☒ **D** Insurance

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Selling assets
- ☒ **B** Retained profit
- ☒ **C** Personal savings
- ☒ **D** Bank loan

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5. Question 1 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

Starbucks has special offers to encourage customers to purchase more coffee.

A latte usually costs $5.90 (US Dollars) and is now on special offer at $5.35.

(iii) Which **one** of the following is the percentage decrease in the price of a latte?

Select **one** answer.

(1)

- ☒ **A** 0.55%
- ☒ **B** 2.94%
- ☒ **C** 9.32%
- ☒ **D** 10.28%

(iv) Which **one** of the following is the minimum number of owners in a partnership?

Select **one** answer.

(1)

- ☒ **A** 1
- ☒ **B** 2
- ☒ **C** 20
- ☒ **D** 50

An online book club charges its members £4.49 (GBP) a month.

The exchange rate is £1.00 to 92.09 Indian Rupees (INR).

(v) Which **one** of the following would be the monthly price in Rupees to be a member in India?

Select **one** answer.

(1)

- ☒ **A** 413.48
- ☒ **B** 1105.08
- ☒ **C** 4 134.84
- ☒ **D** 4 961.81

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5. Question 1 · part b · 1 mark

2025 JUN · Paper 02

Further practice · Attempt part b only.

(vi) Which **one** of the following is an external source of finance for managing immediate cash flow problems?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Overdraft

(b) Define the term **social enterprise**.

(1)

(c) Define the term **tertiary sector**.

(1)

(d) State **one** reason why *Starbucks* wants to retain its employees.

(1)

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5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Franchising: franchisor and franchisee

What a franchise is; the roles of franchisor and franchisee; benefits and drawbacks to each side, including support, an established brand, fees and royalties, rules and loss of control, and franchising as a way to expand.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-36

1. Question 1 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

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1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

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1. Question 1 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

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P 5 9 9 2 9 A 0 4 1 6

1. Question 1 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

(c) Define the term **above the line promotion**.

(1)

(d) State **one** reason *Lavender* would recruit internally.

(1)

Lavender are offering a discount of 15% if customers buy 25 cakes. Each cake costs 12 MYR.

(e) Calculate the cost of buying 25 cakes. You are advised to show your working.

(2)

MYR

(f) Explain **one** advantage of being a franchisee.

(3)

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Turn over ▶

1. Question 1 · part f · 3 marks

2019 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part f only.

(g) Analyse why customer satisfaction might be important to *Lavender*.

(6)

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(Total for Question 1 = 20 marks)

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1. Question 1 · part f · 3 marks · Working and answer

Working and answer

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2. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

4 In 2023, the monthly minimum wage in Portugal was €820.00

In 2024, the government increased this by 3.6%.

(a) Calculate, to **two** decimal places, the new monthly minimum wage after an increase of 3.6%. You are advised to show your working.

(2)

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2. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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(b) Analyse the importance of cash to the success of *Ocean Vibes*.

(6)

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2. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

Ocean Vibes is considering operating as a franchise to further expand the business. It will offer the opportunity to other businesses or individuals to run their own boat tours using the *Ocean Vibes* brand name. The franchisees would provide boat tours in other holiday resorts in Portugal.

(c) Evaluate the benefits to *Ocean Vibes* of operating as a franchise to further expand its business. You should use the information provided as well as your own knowledge of business.

(12)

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2. Question 4 · part c · 12 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

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(Total for Question 4 = 20 marks)

2. Question 4 · part c · 12 marks · Working and answer

Working and answer

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3. Question 1 · part a.ii · 1 mark

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

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1 *Hans Raj Mahajan Worldwide (HRMW)* is an established manufacturer of sports equipment and sportswear in India. It is a family-run business, which started trading in 1925 and since then has grown to become an established business. Its products are exported across the world. These include footballs, boxing gloves, hockey sticks and sports clothing.

(a) (i) Which **one** of the following is the meaning of production?

Select **one** answer.

(1)

☒ **A** Provision of services

☒ **B** Exchange of goods

☒ **C** Extraction of raw materials

☒ **D** Manufacture of finished goods

(ii) Which **one** of the following is a benefit to a person of buying a franchise?

Select **one** answer.

(1)

☒ **A** The person can buy supplies from any supplier

☒ **B** The person is given support from an established business

☒ **C** The person is guaranteed a set wage

☒ **D** The person shares their profits with the franchisee

A football that costs 1 060 Indian Rupees is sold for 1 600 Indian Rupees.

(iii) Which **one** of the following would be the markup percentage?

Select **one** answer.

(1)

☒ **A** 6.63%

☒ **B** 15.09%

☒ **C** 33.75%

☒ **D** 50.94%

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3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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4. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a.vi only.

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1 (a) (i) Which **one** of the following sectors would a retail outlet operate in?

(1)

Select **one** answer.

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quarternary

(ii) Which **one** of the following would be used to select a group of applicants for interview?

(1)

Select **one** answer.

- ☒ **A** Training
- ☒ **B** Shortlisting
- ☒ **C** Marketing
- ☒ **D** Advertising

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4. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a.vi only.

NEXT purchased 5,000 dresses from a Turkish manufacturer at 101.10 New Turkish Lira (TRY) per dress.

The exchange rate is £1.00 (GBP) = 6.74 (TRY)

(iii) Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses?

(1)

Select **one** answer.

- ☒ **A** 5 101
- ☒ **B** 5 674
- ☒ **C** 33 700
- ☒ **D** 75 000

(iv) Which **one** of the following describes Kaizen?

(1)

Select **one** answer.

- ☒ **A** Skilled manufacturing
- ☒ **B** Just-in-time (JIT)
- ☒ **C** Market orientated
- ☒ **D** Continuous improvement

Figure 1 shows the number of online customers using *NEXT* in 2017–2018.

	2017 Millions	2018 Millions
Online customers	4.7	4.9

Figure 1

(v) What is the percentage increase, to two decimal places, of online customers from 2017 to 2018?

(1)

Select **one** answer.

- ☒ **A** 2.00%
- ☒ **B** 4.08%
- ☒ **C** 4.26%
- ☒ **D** 4.70%

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4. Question 1 · part a.vi · 1 mark

2021 JUN · Paper 02

Further practice · Attempt part a.vi only.

(vi) Which **one** of the following is a benefit of buying a franchise?

(1)

Select **one** answer.

- ☒ **A** The franchisor provides training to the franchisee
- ☒ **B** A franchisee pays a lower rate of Value Added Tax (VAT)
- ☒ **C** The franchisor pays the franchisee to set up in business
- ☒ **D** A franchisee makes all his/her own decisions

(b) Define the term **delegation**.

(1)

(c) Define the term **venture capital**.

(1)

(d) State **one** reason why *NEXT* might use cost plus pricing.

(1)

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4. Question 1 · part a.vi · 1 mark · Working and answer

Working and answer

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5. Question 1 · part a.iv · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a.iv only.

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1 The *LEGO* Group is a privately-owned business in Denmark. The business was founded in 1932 by the Kristiansen family. The family still owns it. The name *LEGO* is an abbreviation of two Danish words, 'leg godt' which means 'play well'. It is now one of the world's largest manufacturers of toys with 15 factories and over 18,000 employees around the world.

LEGO manufactures toys, games and art materials for boys and girls of all ages, and products from films such as Star Wars and Harry Potter. It believes that children are the role models of the future and playing with *LEGO* can support children in a developing and complex world.

(a) (i) Which **one** of the following shows money coming in and money going out of a business?

Select **one** answer.

(1)

- ☒ **A** A mortgage
- ☒ **B** Break-even
- ☒ **C** Cash flow
- ☒ **D** Profit and loss

(ii) Which **one** of the following could a person complete when applying for a job?

Select **one** answer.

(1)

- ☒ **A** Application form
- ☒ **B** Shortlisting
- ☒ **C** Job description
- ☒ **D** Person specification

OLevels.COM SCHOOL

5. Question 1 · part a.iv · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a.iv only.

Figure 1 shows financial information for one of *LEGO*'s suppliers in Danish Krone (DKK).

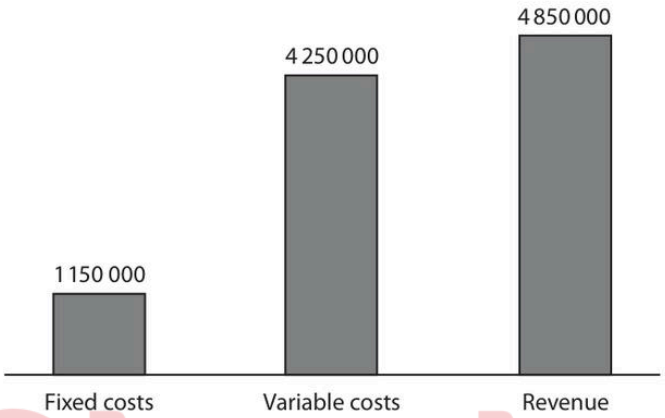


Figure 1

(iii) Which **one** of the following is the correct statement?

Select **one** answer.

(1)

☒ **A** Total costs of 10 250 000

☒ **B** Cash inflow of 3 100 000

☒ **C** Loss of 550 000

☒ **D** Profit of 600 000

(iv) Which **one** of the following is a benefit of being a franchisee?

Select **one** answer.

(1)

☒ **A** Being able to choose your own suppliers

☒ **B** Selling an established brand

☒ **C** Not having to pay interest on a bank loan

☒ **D** Having complete control of the business

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P 6 9 5 5 1 A 0 4 2 0

5. Question 1 · part a.iv · 1 mark

2022 JUN · Paper 02

Further practice · Attempt part a.iv only.

LEGO's revenue in 2019 was 38.5 billion DKK. In 2020 it was 40.81 billion DKK.

(v) Which **one** of the following is the percentage increase from 2019 to 2020?

Select **one** answer.

(1)

- ☒ **A** 0.06%
- ☒ **B** 1.06%
- ☒ **C** 2.31%
- ☒ **D** 6%

(vi) Which **one** of the following functional areas could help employees who had a problem with their wage?

Select **one** answer.

(1)

- ☒ **A** Production
- ☒ **B** Finance
- ☒ **C** Marketing
- ☒ **D** Sales

(b) Define the term **break-even**.

(1)

(c) Define the term **public corporation**.

(1)

(d) State **one** benefit for *LEGO* of having a short span of control.

(1)

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5. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

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6. Question 1 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

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1 *TUI* is a holiday business that has over 100 years of experience. It offers customers a variety of holidays including staying in hotels, and river and ocean-going cruises. There are many extras that it offers to holiday makers including: car hire, extensions to the holiday and arranging day trips at all its holiday destinations.

The business is well known and flies its customers to over 180 destinations around the world, including Greece, Turkey and Spain. It has 1,600 travel agencies and 27 million customers. Holidays can be booked by visiting a travel agency or online.

TUI has holidays to meet the needs of all its customers: families, children, couples and those with disabilities.

(a) (i) Which **one** of the following is a non-financial objective?

Select **one** answer.

(1)

- ☒ **A** Generating wealth
- ☒ **B** Personal satisfaction
- ☒ **C** Maximising profit
- ☒ **D** Regular income

(ii) Which **one** of the following would be a benefit to a business delaying paying its suppliers?

Select **one** answer.

(1)

- ☒ **A** Improved cash flow
- ☒ **B** Increased profit
- ☒ **C** A reduction in the amount of interest paid
- ☒ **D** Improved relationship with suppliers

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6. Question 1 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

Jewellery For You is a jewellery business making earrings and necklaces from stones and pebbles found on local beaches. It makes 240 items a month.

Price per item	€27
Variable costs per item	€12
Fixed costs per month	€600

(iii) Which **one** of the following would be the total monthly cost for Jewellery For You?

Select **one** answer.

(1)

- ☒ **A** €924
- ☒ **B** €3 480
- ☒ **C** €6 480
- ☒ **D** €7 080

(iv) Which **one** of the following is a reason why a business would produce a cash flow forecast?

Select **one** answer.

(1)

- ☒ **A** It is a legal requirement that a business has a cash flow forecast
- ☒ **B** A cash flow forecast ensures that the business will be successful
- ☒ **C** It can help a bank decide whether it should lend money to a business
- ☒ **D** To show the profit and loss of a business in the past six months

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6. Question 1 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

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A 7-day holiday in Thailand in October 2023 cost £998.00.

The exchange rate is £1 = 40.91 Thai Baht (THB).

(v) Which **one** of the following was the cost of the holiday in Thai Baht?

Select **one** answer.

(1)

- ☒ **A** 24.40
- ☒ **B** 1 038.91
- ☒ **C** 40 828.18
- ☒ **D** 40 869.09

(vi) Which **one** of the following is a reason why a sole trader would want to become a private limited company?

Select **one** answer.

(1)

- ☒ **A** The business can keep financial records confidential
- ☒ **B** The business will have unlimited liability
- ☒ **C** Shareholders are liable for all debts
- ☒ **D** Increased ability to raise finance

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6. Question 1 · part b · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part b only.

(b) Define the term **franchise**.

(1)

(c) Define the term **profit**.

(1)

(d) State **one** reason why *TUI* pays its employees above the minimum wage.

(1)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a.ii · 1 mark

2024 NOV · Paper 02

Further practice · Attempt part a.ii only.

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1 The first *Premier Inn* hotel was opened in 1987. *Premier Inn* now has over 820 hotels in the UK, United Arab Emirates (UAE) and India with over 83,000 rooms. It has recently expanded by opening the first *Premier Inn* in Germany and has plans to open more in other countries.

The majority of the hotels have restaurants with facilities for guests to buy meals and drinks.

(a) (i) Which **one** of the following is the break-even point on a break-even chart?

Select **one** answer.

(1)

- ☒ **A** When fixed costs and variable costs are the same
- ☒ **B** When total costs and fixed costs are the same
- ☒ **C** When fixed costs and total revenue are the same
- ☒ **D** When total costs and total revenue are the same

(ii) Which **one** of the following is a benefit to a franchisee?

Select **one** answer.

(1)

- ☒ **A** The franchisee can buy supplies from any supplier
- ☒ **B** The franchisee is given support from the franchisor
- ☒ **C** The franchisee is guaranteed a set wage
- ☒ **D** The franchisee has total control

(iii) Which **one** of the following is an advantage of job production when compared to other methods of production?

Select **one** answer.

(1)

- ☒ **A** Workers will be better motivated
- ☒ **B** Production speeds will be faster
- ☒ **C** Unit costs will be the same
- ☒ **D** Less training will be needed

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7. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

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8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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1 *IKEA* is a well-known home furniture retailer with stores throughout the world. It was started in 1943 by Ingvar Kamprad when he was given some money by his father for doing well at school. He wanted to produce furniture at a price that people could afford to buy.

He realised that transporting furniture to customers was difficult as goods were often damaged. He developed flat packs to avoid damage. A flat pack contained all the materials needed to self-assemble a table, a chair or a bed.

All *IKEA* stores are run as franchises.

(a) (i) Which **one** of the following is a financial business objective?

Select **one** answer.

(1)

- ☒ **A** Challenge
- ☒ **B** Social objectives
- ☒ **C** Survival
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is an advantage to a business of using venture capital?

Select **one** answer.

(1)

- ☒ **A** It decreases access to other sources of finance
- ☒ **B** It keeps ownership in the business
- ☒ **C** It improves public relations
- ☒ **D** It can receive expert advice

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8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

A Canadian supplier of timber charges *IKEA* $19.75 Canadian Dollars (CAD) per load.

The exchange rate is $1 CAD = 6.58 Swedish Krona (SEK).

(iii) Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona?

Select **one** answer.

(1)

- ☒ **A** 151.98 SEK
- ☒ **B** 3 001.52 SEK
- ☒ **C** 19 750.00 SEK
- ☒ **D** 129 955.00 SEK

An *IKEA* dining table costs *IKEA* 3 800 SEK to make. The table sells for 4 400 SEK.

(iv) Which **one** of the following is the correct markup?

Select **one** answer.

(1)

- ☒ **A** 1.16%
- ☒ **B** 13.64%
- ☒ **C** 15.79%
- ☒ **D** 115.79%

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8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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Figure 1 is a diagram of a product life cycle.

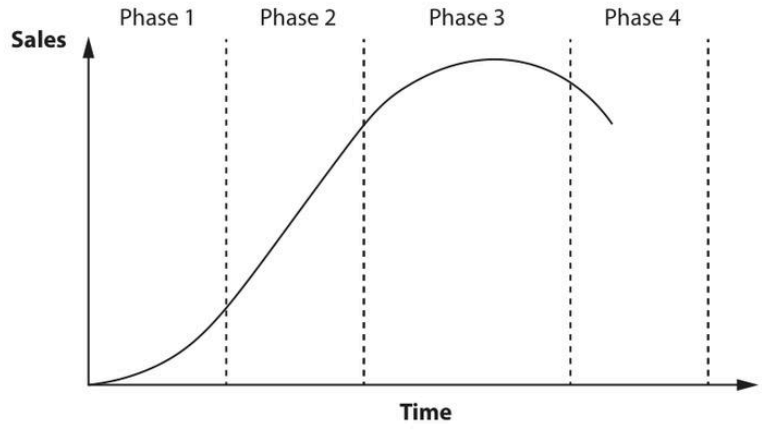


Figure 1

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(v) Which **one** of the following is Phase 3 of the product life cycle?

Select **one** answer.

(1)

- ☒ **A** Decline
- ☒ **B** Growth
- ☒ **C** Introduction
- ☒ **D** Maturity

(vi) Which **one** of the following are equal in a break-even graph?

Select **one** answer.

(1)

- ☒ **A** Fixed costs and variable costs
- ☒ **B** Fixed costs and revenue
- ☒ **C** Total costs and fixed costs
- ☒ **D** Total costs and revenue

8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

(b) Define the term **person specification**.

(1)

(c) Define the term **quality control**.

(1)

(d) State **one** reason why *IKEA* provides induction training for new employees.

(1)

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Figure 2 is an extract from *IKEA*'s Statement of Income for 2020.

	Euros (€) millions
Revenue	37 368
Cost of sales and services	25 643
Gross profit	11 725

Figure 2

(e) Calculate, to two decimal places, the gross profit margin for 2020. You are advised to show your working.

(2)

.....%

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P 7 2 9 5 3 R A 0 6 2 0

8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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(f) Explain **one** reason why businesses want to use resources effectively in manufacturing.

(3)

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8. Question 1 · part g · 6 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

(g) Analyse the benefits to *IKEA* of all its stores being franchises.

(6)

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(Total for Question 1 = 20 marks)

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8. Question 1 · part g · 6 marks · Working and answer

Working and answer

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Practice workbook · Government spending, taxation and laws

Why governments spend and tax, public services, and how laws affect what businesses may do.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-20

1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

3 *Cadbury* donates some of its charity funds to local activities in the communities where its factories are located.

(a) Define the term **public relations**.

(1)

(b) Outline **one** reason why *Cadbury* interviews shortlisted candidates for vacancies in its functional areas.

(2)

Cadbury donated £7 617 600 to its charity fund in 2017. In 2018 this donation was 1.2% lower.

(c) Calculate the donation *Cadbury* made in 2018. You are advised to show your working.

(2)

£.....

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

(d) Analyse why some governments have introduced legislation to reduce the amount of sugar in chocolate.

(6)

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1. Question 3 · part d · 6 marks

2022 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

Cadbury introduces new products on a regular basis, such as Dinky Deckers. The aim of this is to maintain customer loyalty by offering new products. Before releasing Dinky Deckers for sale to the public, *Cadbury* had to decide the method of production it would use. It considered the following two options:

Option 1: batch production

Option 2: flow production.

(e) Justify which **one** of these two options *Cadbury* should choose.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 During the preparation of food, the chefs at *Can Culleretes* have to follow health and safety regulations. New regulations are made from time to time.

(a) State **one** impact government legislation could have on *Can Culleretes*.

(1)

(b) State **one** way *Can Culleretes* might add value to its business.

(1)

(c) Explain **one** method a business could use to encourage repeat purchase of its products.

(3)

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P 7 0 7 3 6 A 0 8 2 0

2. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

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1 *Mahindra & Mahindra Limited (M&M)* is an Indian multinational vehicle manufacturing corporation with its headquarters in Mumbai, India. It is one of the largest manufacturers of cars, vans and tractors in the world.

M&M started in 1945 and has prospered for over 75 years with the aim of 'Rising through crisis'. In the 1970s with the oil crisis that sent the cost of petrol rising, it adapted its tractor diesel engines to be used in its cars and vans.

M&M is committed to ensuring that it protects the environment. In 2020 it planted 1.32 million trees across India. It supports schools for disadvantaged children and teenagers.

Figure 1 Maslow's Hierarchy of Needs

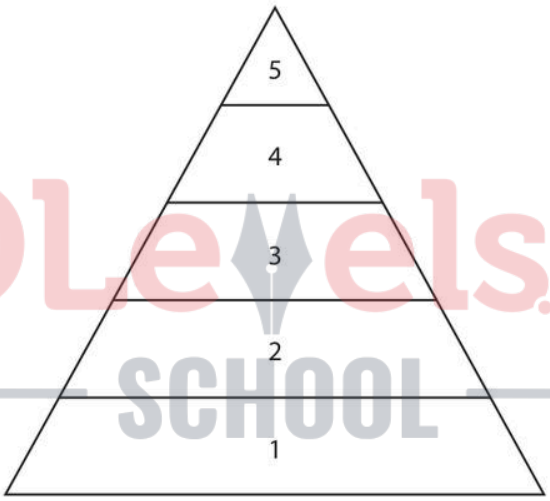


Figure 1

(a) (i) Which **one** of the following is Level 3 in Maslow's Hierarchy of Needs?

Select **one** answer.

(1)

- ☒ **A** Esteem
- ☒ **B** Social
- ☒ **C** Safety
- ☒ **D** Basic

3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

(ii) Which **one** of the following is an external source of finance?

Select **one** answer.

(1)

- ☒ **A** Personal savings
- ☒ **B** Retained profit
- ☒ **C** Selling assets
- ☒ **D** Venture capital

Below is an extract from a cash flow forecast for one month.

The opening balance was £20 000, cash inflow £28 000 and cash outflow £56 000.

(iii) Which **one** of the following is the closing balance for the end of the month?

Select **one** answer.

(1)

- ☒ **A** –£28 000
- ☒ **B** –£8 000
- ☒ **C** £48 000
- ☒ **D** £84 000

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(iv) Which **one** of the following is a reason why governments raise tax rates?

Select **one** answer.

(1)

- ☒ **A** To raise revenue for the government
- ☒ **B** To attract multinationals
- ☒ **C** To raise demand in the economy
- ☒ **D** To reduce unemployment

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3. Question 1 · part a.iv · 1 mark

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part a.iv only.

In 2020 *M&M* sold 288,302 tractors. The number of tractors sold in 2021 was 12% higher.

(v) What would be the number of tractors sold in 2021?

Select **one** answer.

(1)

- ☒ **A** 253,706
- ☒ **B** 300,302
- ☒ **C** 322,898
- ☒ **D** 322,910

A shop owner wanted to gain information from potential customers before opening his shop.

(vi) Which **one** of the following market research methods would the shop owner use?

Select **one** answer.

(1)

- ☒ **A** Market segment
- ☒ **B** Primary research
- ☒ **C** Research and development
- ☒ **D** Secondary research

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3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 3 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

3 (a) Define the term **legislation**.

(1)

(b) Outline **one** reason why *Saha* may dismiss an employee.

(2)

Figure 2 is an extract from a cash flow forecast.

	£
Cash inflows	
Sales	24 000
Other income	5 000
Cash outflow	
Net cash flow	11 000

Figure 2

(c) Calculate the **cash outflow**. You are advised to show your working.

(2)

£.....

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iv only.

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1 *Ocean Vibes* is a boat tour business located in two tourists resorts in Portugal. During the tours, it collects wildlife research. The idea came from two young scientists, Alfredo and Pedro, who share a passion for the environment, boats and science. *Ocean Vibes* employs boat tour guides and a sales team in each of the two resorts.

The main goal of *Ocean Vibes* is to connect tourism with science. It offers dolphin and bird-watching tours to tourists and uses the boat tours to collect research data on the wildlife. Its tour guides are knowledgeable, passionate and respectful of the environment.

Customers can book the boat tours online or in the tourist resorts. They are encouraged to leave reviews on *Ocean Vibes'* website.
Every month *Ocean Vibes* provides a boat tour for students and researchers who wish to study the wildlife.

There are many other businesses offering boat tours in Portugal which makes competing in the industry a challenge.

(a) (i) Which **one** of the following is a role within the marketing function?

(1)

Select **one** answer.

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Sales promotion
- ☒ **D** Training employees

(ii) Which **one** of the following is an example of a non-financial method of motivation?

(1)

Select **one** answer.

- ☒ **A** Bonus
- ☒ **B** Remuneration
- ☒ **C** Fringe benefits
- ☒ **D** Job rotation

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5. Question 1 · part a.iv · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Introduction
- ☒ **B** Cash cow
- ☒ **C** Dog
- ☒ **D** Star

(iv) Which **one** of the following is an example of a public service provided by the government?

(1)

Select **one** answer.

- ☒ **A** Clothing retailer
- ☒ **B** Police force
- ☒ **C** Mobile phone provider
- ☒ **D** Grocery store

A bank in Portugal charges *Ocean Vibes* 12% interest on overdrafts.

(v) Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?

Select **one** answer.

(1)

- ☒ **A** €140
- ☒ **B** €168
- ☒ **C** €1 388
- ☒ **D** €1 568

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5. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

Practice workbook · Trading blocs and tariffs

What a trading bloc is and how bloc membership and tariffs affect countries and businesses that import or export.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: BUS-S1-21

1. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part e only.

2 *Premier Inn* wants to retain its employees so it can continue to maintain the service it provides for guests.

(a) State **one** activity carried out by the marketing functional area at *Premier Inn*.

(1)

(b) State **one** reason why *Premier Inn* uses seasonal employees.

(1)

(c) Explain **one** reason why a business would use robotics in its production.

(3)

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1. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part e only.

(d) Explain **one** reason why a business might use sponsorship.

(3)

(e) Explain **one** advantage for a country of being in a trading bloc.

(3)

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1. Question 2 · part e · 3 marks

2024 NOV · Paper 02

Worked-example retry · Attempt part e only.

To be competitive in India, *Premier Inn* must make sure that it uses the correct pricing strategy. It is considering the following two options:

Option 1: competition pricing

Option 2: promotional pricing.

(f) Justify which **one** of these two options *Premier Inn* should choose.

(9)

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1. Question 2 · part e · 3 marks · Working and answer

Working and answer

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2. Question 1 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

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1 Most people recognise Heinz for the phrase '57 varieties' even though it now produces many more than the original 57 varieties. H J Heinz, the founder of the Heinz business, believed the phrase sounded lucky.

Kraft Heinz is a world-wide producer of food products. It was formed from the merger of Kraft Foods and Heinz in 2015. This created the third largest food and drinks business in the USA and the fifth largest food and drinks business in the world.

Kraft Heinz has over 24 different brands, including Greenseas in Australia and Nutri+Plus in New Zealand. America has the largest number of brands from Maxwell House to Cool Whip. *Kraft Heinz* produces many different products including tomato sauce, 'Mac&Cheese', pasta and its famous baked beans that are used and eaten by many people.

Kraft Heinz uses many methods to advertise its products. These include posters, billboards and leaflets in supermarkets.

(a) (i) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Published government statistics
- ☒ **B** Magazine article
- ☒ **C** Internet research
- ☒ **D** Focus groups

(ii) Which **one** of the following is an example of external communication?

Select **one** answer.

(1)

- ☒ **A** A presentation by the chairperson to its employees
- ☒ **B** Sending a customer details of a special offer
- ☒ **C** A departmental meeting
- ☒ **D** Training sessions for new employees

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2. Question 1 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

On 13 September 2022 the share price of *Kraft Heinz* in America at 10.00 am was $36.55 and at 4.00 pm it was $35.06.

(iii) Which **one** of the following is the percentage decrease in the share price?

Select **one** answer.

(1)

- ☒ **A** 1.49%
- ☒ **B** 1.96%
- ☒ **C** 4.08%
- ☒ **D** 4.25%

Kraft Heinz uses price promotions to encourage customers to purchase more of its products. The price of a tin of baked beans in the US is $0.54. If 12 tins are purchased the price is reduced by 12.5%.

(iv) Which **one** of the following is the price of 12 tins of baked beans with the 12.5% promotional price discount?

Select **one** answer.

(1)

- ☒ **A** $5.67
- ☒ **B** $6.48
- ☒ **C** $56.25
- ☒ **D** $81.00

(v) Which **one** of the following would be a long-term source of finance for a sole trader?

Select **one** answer.

(1)

- ☒ **A** Trade credit
- ☒ **B** Overdraft
- ☒ **C** Personal savings
- ☒ **D** Share capital

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2. Question 1 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

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(vi) Which **one** of the following is the break-even point?

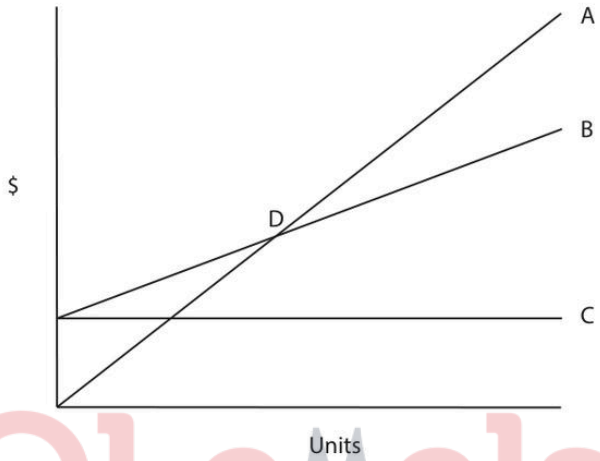


Figure 1

Select **one** answer. (1)

- ☒ **A**
- ☒ **B**
- ☒ **C**
- ☒ **D**

OLevels.COM SCHOOL

2. Question 1 · part c · 1 mark

2023 NOV · Paper 02

Further practice · Attempt part c only.

(b) Define the term **labour intensive production**.

(1)

(c) Define the term **trade bloc**.

(1)

(d) State **one** reason why *Kraft Heinz* prefers to train its employees using on-the-job training.

(1)

In North America, a *Kraft Heinz* employee is paid a salary of $15 750. If employees reach their production target for 'Mac&Cheese' they receive a bonus of 14%.

(e) Calculate the total pay an employee would receive once the bonus is added to their salary. You are advised to show your working.

(2)

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2. Question 1 · part c · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

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1 Gianni Polvani opened his first gym, *Four Fitness*, over 20 years ago. He now employs 14 highly-qualified gym instructors in his two gyms. Both gyms are in Italy, one in Arezzo and the other in Castiglion Fiorentino.

The gym encourages its members to take part in all the physical activities it offers. Members can take part in a number of social activities as well.

Four Fitness has a website which is primarily for information only. The website details such things as opening hours and descriptions of available activities. It cannot be used to book activities or access personal training plans.

(a) (i) Which **one** of the following is a debt payable within 12 months?

Select **one** answer.

(1)

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(ii) Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?

Select **one** answer.

(1)

- ☒ **A** Skimming
- ☒ **B** Competition
- ☒ **C** Penetration
- ☒ **D** Cost plus

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3. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

(iii) Which **one** of the following is a role of the human resources department?

Select **one** answer.

(1)

- ☒ **A** Reducing costs
- ☒ **B** Designing products
- ☒ **C** Customer service
- ☒ **D** Recruiting employees

(iv) Which **one** of the following is a benefit to a shareholder of having limited liability?

Select **one** answer.

(1)

- ☒ **A** Choosing who can buy shares
- ☒ **B** May build a better relationship with suppliers
- ☒ **C** Own possessions are not at risk
- ☒ **D** Employee motivation will increase

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3. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

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Four Fitness is considering introducing sports drinks to sell to its customers and to do this it needs to hire a fridge to store the sports drinks. To decide whether it is a good business decision, it needs to work out the break-even level of output.

Figure 1 shows some financial data to assist this decision.

	€
Fixed costs	280
Variable cost per unit	0.70
Revenue per unit	1.50

Figure 1

(v) Which **one** of the following is the break-even level of output?

Select **one** answer. (1)

- ☒ **A** 280
- ☒ **B** 350
- ☒ **C** 420
- ☒ **D** 616

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3. Question 1 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

Figure 2 is a financial extract from a gym equipment business that supplies *Four Fitness*.

	€
Total revenue	132 165
Total labour costs	54 000
Total material costs	17 000
Other costs	17 400

Figure 2

(vi) Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?

Select **one** answer. (1)

- ☒ **A** It made a loss of €88 400
- ☒ **B** It made a loss of €61 165
- ☒ **C** It made a profit of €43 765
- ☒ **D** It made a profit of €78 165

(b) Define the term **trade bloc**. (1)

(c) Define the term **job production**. (1)

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3. Question 1 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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2 *Jimmy Choo* ensures that it meets all legal requirements of each country where it has factories or shops.

(a) State **one** non-financial objective *Jimmy Choo* might have.

(1)

(b) State **one** reason why *Jimmy Choo* complies with health and safety laws.

(1)

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(c) Explain **one** advantage to a country of being a member of a trading bloc.

(3)

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4. Question 2 · part c · 3 marks

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(d) Explain **one** way businesses support employees with disabilities.

(3)

(e) Explain **one** impact on a business of an increase in interest rates.

(3)

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4. Question 2 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 2 · part d · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

2 (a) State **one** financial method of motivation *CCT* could use with its employees.

(1)

(b) State **one** benefit to *CCT* of satisfying customer needs.

(1)

(c) Explain **one** way a business could increase its profit.

(3)

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5. Question 2 · part d · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) Explain **one** way that the introduction of tariffs might affect a business importing goods.

(3)

(e) Explain **one** reason why quality control is important to a business.

(3)

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5. Question 2 · part d · 3 marks · Working and answer

Working and answer

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6. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

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2 (a) State **one** reason why *Samsung* may need long-term finance.

(1)

(b) State **one** reason why quality control is a benefit to *Samsung*.

(1)

(c) Explain **one** advantage to a business of having a social objective.

(3)

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6. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

(d) Explain **one** limitation of a break-even chart.

(3)

(e) Explain **one** benefit to a business of being located within a trading bloc.

(3)

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6. Question 2 · part e · 3 marks

2025 NOV · Paper 02

Further practice · Attempt part e only.

Samsung competes for market share with businesses such as *Apple* and *Xiaomi* in the technology market.

Samsung plans to increase its promotional spending to increase its market share.

Samsung is considering the following two options:

Option 1: Sponsor celebrities to use its products

Option 2: Provide a free game app to customers when they purchase a product.

(f) Justify which **one** of these two options *Samsung* should choose.

(9)

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6. Question 2 · part e · 3 marks · Working and answer

Working and answer

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Practice workbook · External factors affecting business decisions

Social, technological, environmental and political factors outside the business, their impact on decisions, and how a business responds.

8 question parts: 1 worked-example retry and 7 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-S1-26

1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

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1 *Loaf*, a bakery and cookery school, was set up by Tom Baker in Birmingham, UK. The aim is to promote real food and healthy living. It wants to use its skilled chefs to bring real food to the kitchens of the local community. It uses its cookery courses and bakery to help restore the local high street. *Loaf* also hosts pop-up events (one-off events) in different parts of the city where it shows off its products. Any profit made through these events is directed towards furthering *Loaf*'s charitable work.

Loaf operates a scheme called 'Waste Not'. At the end of the day *Loaf* donates any leftover food to charities who distribute it to local people. In addition, *Loaf* provides a recycling hub for the local community.

Loaf is a social enterprise with nine members of staff; six of whom are directors.

(a) (i) Which **one** of the following is a non-financial business objective?

(1)

Select **one** answer.

- ☒ **A** Profit
- ☒ **B** Sales
- ☒ **C** Market share
- ☒ **D** Personal satisfaction

(ii) Which **one** of the following is a part of the Boston Matrix?

(1)

Select **one** answer.

- ☒ **A** Rising star
- ☒ **B** Risk assessment
- ☒ **C** Product packaging
- ☒ **D** Extension strategy

(iii) Which **one** of the following is an additional payment to a basic wage?

(1)

Select **one** answer.

- ☒ **A** Promotion
- ☒ **B** Bonus
- ☒ **C** Job enrichment
- ☒ **D** Piece rate

OLevels.COM SCHOOL

1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

Figure 1 shows the product life cycle diagram.

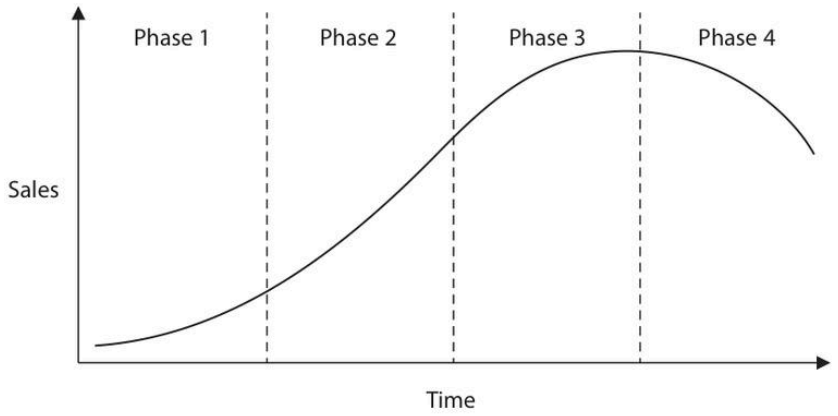


Figure 1

(iv) Which **one** is the correct label for Phase 2? **(1)**

Select **one** answer.

- ☒ **A** Growth
- ☒ **B** Decline
- ☒ **C** Introduction
- ☒ **D** Maturity

Loaf charges £165 for its day-long 'Seafood Masterclass' course. The cost to *Loaf* of running this course is £66.

(v) What mark up has *Loaf* applied to this course? **(1)**

Select **one** answer.

- ☒ **A** 99%
- ☒ **B** 150%
- ☒ **C** 231%
- ☒ **D** 250%

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

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Loaf is offering some Japanese students the opportunity to take part in a two-hour 'Bao and Dumplings' course. The course will cost £65.

The exchange rate is £1 (Pound) = 148.86 JPY (Japanese Yen).

(vi) Which **one** of the following amounts would a student pay for this course in Yen?

(1)

Select **one** answer.

- ☒ **A** 65.00 JPY
- ☒ **B** 148.86 JPY
- ☒ **C** 9620.00 JPY
- ☒ **D** 9675.90 JPY

(b) Define the term **capital intensive production**.

(1)

(c) Define the term **quantitative data**.

(1)

(d) State **one** reason why Tom Baker set up his business as a social enterprise.

(1)

OLevels.com SCHOOL

1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

Tom Baker is looking to increase his profits so *Loaf* can support more local projects.
The revenue from his pop-up events in 2016 was £23 546. In 2017 this increased by 3%.

(e) Calculate the revenue for 2017. You are advised to show your working.

(2)

£.....

(f) Explain **one** method a small business might use to increase its profit.

(3)

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1. Question 1 · part g · 6 marks

2020 NOV · Paper 01 (regional R)

Worked-example retry · Attempt part g only.

(g) Analyse the importance of environmental factors for *Loaf*.

(6)

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(Total for Question 1 = 20 marks)

1. Question 1 · part g · 6 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** external factor that could cause a change in demand for *NOF* products.

(1)

(b) State **one** reason *NOF* might use other retailers to sell its products.

(1)

(c) Explain **one** benefit to a business of using secondary market research.

(3)

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2. Question 2 · part a · 1 mark · Working and answer

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OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iv only.

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1 *Artify Studio* was set up in 2015 by Tay Hui Jae in the busy Kampong Glam area of Singapore. *Artify Studio*'s aim is to have 'a communal art space where people can come together and paint, where people would be given as much creative freedom as they would have if they were in their own spaces.'

Artify Studio provides many services including its popular Liberty Art Jam where customers can paint as well as listen to music. The studio offers a Corporate Art Jam and Regular Kids Classes. Customers can purchase art materials after attending the studio.

Artify Studio is a profit-making organisation with a social element. It employs seven part-time people, all of whom are art enthusiasts.

(a) (i) Which **one** of the following functional areas is responsible for the recruitment of new employees?

(1)

Select **one** answer.

- ☒ **A** Finance
- ☒ **B** Marketing
- ☒ **C** Production
- ☒ **D** Human Resources

(ii) Which **one** of the following is an internal source of finance?

(1)

Select **one** answer.

- ☒ **A** Overdraft
- ☒ **B** Selling assets
- ☒ **C** Venture capital
- ☒ **D** Crowdfunding

OLevels.com SCHOOL

3. Question 1 · part a.iv · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part a.iv only.

(iii) Which **one** of the following is a main feature of the statement of comprehensive income?

(1)

Select **one** answer.

- ☒ **A** Current assets
- ☒ **B** Non-current liabilities
- ☒ **C** Cost of sales
- ☒ **D** Capital employed

(iv) Which **one** of the following is a political factor that can affect a business?

(1)

Select **one** answer

- ☒ **A** Taxation
- ☒ **B** Global warming
- ☒ **C** Habitat destruction
- ☒ **D** Part-time workers

Running the Liberty Art Jam costs *Artify Studio* S$10 Singapore Dollars (SGD). People attending the course are charged S$35.

(v) What markup has *Artify Studio* applied to this service?

(1)

Select **one** answer

- ☒ **A** 35%
- ☒ **B** 45%
- ☒ **C** 250%
- ☒ **D** 350%

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3. Question 1 · part a.iv · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

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4. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

Customers who buy a ham Ciabatta for €7.50, a sweet waffle for €2.90 and a coffee at €3.60 would pay a total of €14.00. A lunchtime special deal offers them a 5% discount.

(e) Calculate what a customer would pay for these three items after the discount is applied. You are advised to show your working.

(2)

€ .....

(f) Explain **one** advantage to a start-up business of using a venture capitalist.

(3)

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4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

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3 Saving the environment in which we all live is important. The Chairman ensures that *Emirates* works hard to recycle many of the materials it uses and to reduce atmospheric pollution from the fuel that powers its aircraft. Water consumption for washing aircraft has been reduced, newspapers and other paper products collected from *Emirates* aircraft cabins are recycled. *Emirates* uses a variety of methods to monitor its employees when carrying out these jobs. For these roles *Emirates* uses a short chain of command.

(a) Define the term **hierarchical structure**.

(1)

(b) Outline **one** reason why *Emirates* has a short chain of command for monitoring its employees when recycling.

(2)

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Emirates used 13,457,776 litres of petrol in 2016–2017. In 2017–2018 it reduced this figure by 12.5%.

(c) Calculate the number of litres of petrol that *Emirates* used in 2017–2018. You are advised to show your workings.

(2)

..... litres

5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse why *Emirates* would want to be more environmentally friendly.

(6)

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5. Question 3 · part d · 6 marks

2020 NOV · Paper 02

Further practice · Attempt part d only.

Emirates wants to improve its market share to regain its number one position with passengers. It needs to improve its promotional activities. It is considering two options:

Option 1: increase the number of special offers

Option 2: increase advertising via social media.

(e) Justify which **one** of these two options *Emirates* should use. **(9)**

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

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1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

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(b) Define the term **primary sector**.

(1)

(c) Define the term **diseconomies of scale**.

(1)

(d) State **one** factor *TBTS* should consider when selecting its manufacturers.

(1)

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Figure 1 is a financial extract from *TBTS* based on the sale of 160 wooden toy carts.

	SGD
Variable costs per unit	0.93
Fixed costs	555.31

Figure 1

(e) Calculate the total costs for *TBTS* of making 160 wooden toy carts. You are advised to show your working.

(2)

SGD

6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(f) Explain **one** advantage of being a sole trader.

(3)

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6. Question 1 · part g · 6 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(g) Analyse the likely impact of external factors on business decisions made by *TBTS*.

(6)

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(Total for Question 1 = 20 marks)

6. Question 1 · part g · 6 marks · Working and answer

Working and answer

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

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4 *M&M* sells its tractors to the UK. Its tractors sell for 14 000 000 Indian Rupees.

The exchange rate is 103 Indian Rupees = £1 (GBP).

(a) Calculate, to 2 decimal places the cost of the tractor in pounds sterling (GBP). You are advised to show your working.

(2)

£.....

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Analyse why *M&M* wants to continue planting trees.

(6)

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7. Question 4 · part b · 6 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Evaluate why *M&M* uses cash flow forecasting to help inform decision making. You should use the information provided as well as your own knowledge of business.

(12)

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7. Question 4 · part b · 6 marks · Working and answer

Working and answer

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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3 *Kraft Heinz* has set itself many targets to reach before 2025. These include reducing its impact on the environment and improving its use of robotic technology for production. It is hoped that these targets will lower the impact *Kraft Heinz* production has on the environment by reducing its waste and greenhouse gases that contribute to global warming.

(a) Define the term **public limited company**.

(1)

(b) Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.

(2)

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

Figure 2 shows the amount of waste to landfill for *Kraft Heinz* from 2019 to 2021.

	Landfill (metric tons)
2019	100,595
2020	92,856
2021	82,617

Figure 2

(c) Calculate the decrease in waste to landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your working.

(2)

..... metric tons

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

(d) Analyse how *Kraft Heinz* could benefit from reducing its waste.

(6)

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8. Question 3 · part d · 6 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

Kraft Heinz will need to recruit more managers to take responsibility for new production lines. It is considering two options:

Option 1: promote existing employees

Option 2: advertise managerial positions externally.

(e) Justify which **one** of these two options *Kraft Heinz* should choose.

(9)

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P 7 4 6 3 5 A 0 1 6 2 4

8. Question 3 · part d · 6 marks · Working and answer

Working and answer

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